

Case 7: Would You Invest Rs. 5 Crore?

LearnNova (Ed-tech, Test-Prep) — PE/VC Investment Decision | Framework: Porter's Five Forces + SWOT

1. Case Summary

LearnNova is an ed-tech test-prep startup asking for Rs. 5 crore for 12% equity (implied valuation: ~Rs. 41.7 crore post-money). Growth: 8,000 → 60,000 paying students in 14 months. Claimed marketing ROI: 2.3x within 90 days. Retention: 81% at 6 months. Differentiator claimed: live doubt-solving (2-min response) vs. competitors' recorded content. Team size: 22. Not yet profitable. Heavy paid-ad dependence for acquisition. 40 offline coaching-centre tie-ups for hybrid delivery — potentially defensible if exclusive.

2. Porter's Five Forces Analysis

Force	Assessment	Intensity
Rivalry among existing competitors	6+ well-funded ed-tech players already in test-prep. Crowded, capital-intensive space. LearnNova's edge (live doubt-solving) is real but replicable if competitors invest.	HIGH
Threat of new entrants	Barriers to entry are LOW. Any teacher with a phone/YouTube channel can informally compete. Capital and brand aren't strong moats here; content + distribution matter more.	HIGH
Bargaining power of buyers (students)	Students multi-home — most use 2-3 apps simultaneously. Low switching cost. Price-sensitive, outcome-driven segment (competitive exams). Power sits with buyer.	HIGH
Bargaining power of suppliers	Key 'suppliers' = tutors and the 40 offline coaching centres. If tie-ups are non-exclusive, they can walk to a competitor; if exclusive, supplier power is contained.	MEDIUM
Threat of substitutes	Free YouTube content, informal tutors, other hybrid models, and exam bodies' own prep material. Substitutes are abundant and low/no-cost.	HIGH

Note on regulatory/exam-body risk: not a classic Porter force, but a contextual risk factor — exam bodies can change syllabus/format, disrupting content roadmaps industry-wide. Treat as macro risk layered on top of the five forces, not a substitute for them.

3. SWOT Analysis

STRENGTHS	WEAKNESSES
- Fast growth: 8,000 → 60,000 students in 14 months - Strong 6-month retention (81%) - Live doubt-solving — genuine category differentiator 40 offline coaching tie-ups — potential hybrid moat	- Not yet profitable - High dependence on paid ads for acquisition (CAC risk if ad costs rise) - Small team (22 people) for a 60,000-student operation — execution/scale risk
OPPORTUNITIES	THREATS
- Rising hybrid (online+offline) demand - Fast-growing Tier-2/3 city demand	6+ funded competitors in the same space - Low student switching cost (multi-homing)

- Possible exam-body partnerships

- Possible regulatory/exam-format changes

4. Five Forces × SWOT — Cross-Read

The SWOT's weaknesses/threats and the Five Forces point to the same three structural problems: (1) low switching cost = high buyer power, (2) low entry barriers = constant new-entrant pressure, and (3) 6+ funded rivals = margin/CAC pressure. The only forces-mitigating strength is the 40-centre tie-up network — but only if exclusive. Everything else in the 'strengths' column (growth, retention, doubt-solving) is a competitive feature, not a structural moat — it raises the bar but doesn't change industry economics.

5. Discussion Questions — Answers

Q1. Would you invest Rs. 5 crore in LearnNova at this valuation?

Conditional yes, not an outright yes. The growth (7.5x in 14 months) and retention (81%) are strong enough to justify serious diligence, and live doubt-solving is a credible differentiator. But three red flags block a clean 'yes': not yet profitable, CAC dependent on paid ads (unit economics unverified beyond a self-reported 2.3x ROAS), and a structurally unattractive industry (low switching cost, low entry barriers, 6+ funded rivals). Recommended structure: invest, but make the 40-centre tie-ups' exclusivity, verified cohort-level retention/LTV-to-CAC, and a profitability path into either valuation terms (lower price) or milestone-based tranches, not a single unconditional Rs. 5 crore cheque.

Q2. Which force worries you most — rivalry, new entrants, or low switching costs?

Low switching cost worries most. Rivalry and new entrants are visible and can be fought with product and distribution. Low switching cost is the quieter, more corrosive problem: it caps pricing power and lifetime value regardless of how good the product is, and it amplifies the other two forces — every new entrant and every existing rival can take share with almost no friction, since students already multi-home across 2-3 apps. It undermines the entire retention story: 81% at 6 months looks strong, but if students are retained while also using competitor apps, LearnNova isn't really the primary provider — it's one of several.

Q3. What one question would you ask the founder before deciding?

"Of your 60,000 paying students, what share use LearnNova as their only paid test-prep app, and what is their cohort-level LTV-to-CAC — not blended, not 90-day ROAS?" This single question tests the two weakest links at once: whether the low-switching-cost problem is actually hurting LearnNova today (exclusivity of usage), and whether the unit economics survive past the 90-day window the founder chose to quote. The answer determines whether this is a real moat-building business or a subsidized-growth story riding a favorable ad-spend period.